

IN THE COUNTY COURT OF THE TWELFTH JUDICIAL CIRCUIT
IN AND FOR MANATEE COUNTY, FLORIDA
COUNTY CIVIL

COLONIAL MANOR MHC HOLDINGS, LLC,
Plaintiff,

vs.

Case No.: 2023-CC-1984

JOSE LUIS VASQUEZ, MARY ROSELLA
HUFFMAN VASQUEZ and ANY UNKNOWN
PARTY(s) IN POSSESSION,
Defendants.

NOTICE OF FILING CASE LAW AND STATUTE

COMES NOW, the Plaintiff, COLONIAL MANOR MHC HOLDINGS, LLC, by and through their undersigned attorney, hereby gives notice of filing the following cases and statute relating to the above referenced matter, to-wit:

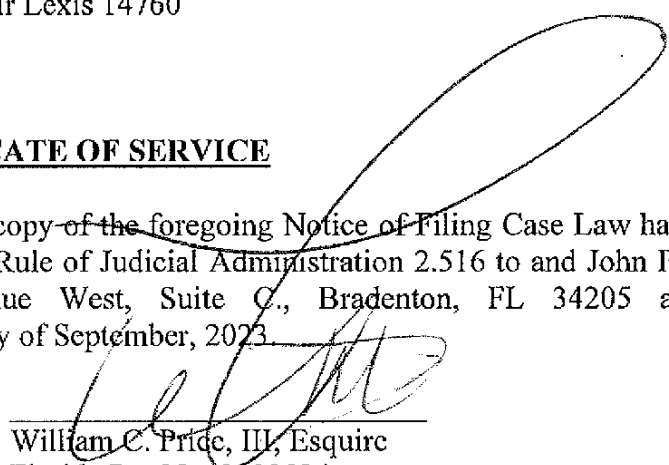
Tara Woods, Spe, LLC v. Cashin,
116 So. 3d 492 (Fla. 2d DCA 2013)

Harris v. Fairhaven Mobile Home Park
Cir. Ct. Pinellas County 2014 Fla. Cir Lexis 14760
(September 23, 2014)

Fla Stat § 723.031

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true copy of the foregoing Notice of Filing Case Law has been furnished in accordance with Florida Rule of Judicial Administration 2.516 to and John P. Fleck, Jr., Esquire, 1111 Ninth Avenue West, Suite C., Bradenton, FL 34205 at manateecountylaw@aol.com on this 27th day of September, 2023.



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Tara Woods Spe, LLC v. Cashin

Court of Appeal of Florida, Second District

May 24, 2013, Opinion Filed

Case No. 2D12-3854

Reporter

116 So. 3d 492 *; 2013 Fla. App. LEXIS 8358 **; 38 Fla. L. Weekly D 1151; 2013 WL 2278011

TARA WOODS SPE, LLC, Appellant, v.
LOUELLA CASHIN, Appellee.

permitted the tenant to rescind her lifetime lease (LL).

Subsequent History: Released for
Publication August 1, 2013.

Rehearing denied by Tara Woods SPE, LLC v.
Cashin, 2013 Fla. App. LEXIS 12157 (Fla.
Dist. Ct. App. 2d Dist., July 15, 2013)

Prior History: **[**1]** Appeal from the Circuit
Court for Lee County; Sherra Winesett, Judge.

Core Terms

prospectus, Lease, rental agreement, Seller's,
rights, mobile home, rent, mobile home park
owner, rent increase, disclosure, terms, final
judgment, documents, rental amount,
provisions, increases, resale, obligations,
purchaser, mobile home park, base rent,
Homeowner, charges, circuit court, factors,
rescind, elect, waive, prospective lessee,
home buyer

Case Summary

Procedural Posture

Appellee tenant filed a declaratory judgment
suit seeking a declaration that a prospectus
was the supreme governing document
between the parties based on the Florida
Mobile Home Act (Act), ch. 723, Fla. Stat.
(2007) and seeking damages. Appellant
mobile home park owner appealed a judgment
and supplemental judgment entered by the
Circuit Court of Lee County, Florida, which

Overview

The appellate court held that the prospectus
was fundamentally a disclosure document, did
not create rights or duties not imposed by the
Act, and was not a contract. It was error to
interpret § 723.059, Fla. Stat. (2007) as
imposing duties on the owner. The owner
complied with her duties under the Act. The
tenant's rights were to assume the remaining
term and rights under her seller's lease and to
rely on her seller's prospectus. It was error to
require the owner to provide a copy of a
seller's prospectus to the tenant. Section
723.011(2), Fla. Stat. (2007), required the
owner to provide a copy of an approved
prospectus to a prospective lessee. Section
723.059(3) stated only that a resale home
buyer could rely on the seller's prospectus.
Section 723.059(4) imposed a disclosure
obligation on the owner as to increases in rent
such that they conformed to the seller's
prospectus. The owner was not required to
inform the tenant of the difference in lot rental
amount between the LL and the seller's lease.
The rent increase between the tenant's
assumption of the seller's lease and her
execution of the LL was clearly disclosed as
optional. The tenant consented to the LL.

Outcome

The final judgment and supplemental final
judgment were reversed. The case was
remanded to the trial court with directions that
judgment be entered in favor of the landlord.

Counsel: Jody B. Gabel and J. Allen Bobo of Lutz, Bobo, Telfair, Eastman, Gabel & Lee, Sarasota, for Appellant.

Robert B. Burandt of Burandt, Adamski & Feichthaler, PL, Cape Coral, for Appellee.

Judges: BLACK, Judge. KHOUZAM, J., and MAKAR, SCOTT D., ASSOCIATE JUDGE, Concur.

Opinion by: BLACK

Opinion

[*494] BLACK, Judge.

Tara Woods SPE, LLC, appeals the final judgment and supplemental final judgment entered in favor of Louella Cashin. Collectively, the judgments interpret provisions of Florida's Mobile Home Act, chapter 723, Florida Statutes (2007), and permit Ms. Cashin to rescind her lease contract. Presented with an issue of first impression, we must determine whether Tara Woods SPE, LLC (Tara Woods), a mobile home park owner, complied with the disclosure requirements of the Mobile Home Act (Act) as it relates to resale purchasers. Ms. Cashin persuaded the circuit court that the park owner did not comply with the Act; Tara Woods contends that the circuit court erroneously concluded that the park owner did not do enough to comply with the Act and further contends that Ms. Cashin waived certain rights. As we will explain in detail, we agree with Tara Woods' arguments [**2] and therefore reverse the judgments on appeal.

I. Background

In August 2007 Ms. Cashin purchased a mobile home in Tara Woods Mobile Home Park. Tara Woods owns the park, which is regulated by the Act. Ms. Cashin's mobile home was a resale; she purchased the home

from the trustee of a deceased resident's trust (Seller).

A. Documents

On August 8, 2007, Ms. Cashin executed a Rental Assumption Agreement acknowledging and agreeing to assume the remaining term of the rental agreement between Tara Woods and the Seller. In addition, she executed a Rental Agreement to be effective for the period assumed—September 1, 2007 through December 31, 2007. The Rental Agreement included a rent increase provision identical to the rent increase provision in the Seller's original rental agreement, to wit: "The LANDLORD may raise the amount of base rent and special use fees and other charges annually effective the 1st day of January, __. Increases in the base rent and other fees and charges will be determined in the manner disclosed in the Prospectus."

On the same day, Ms. Cashin signed an acknowledgment stating that she received a copy of Tara Woods' Prospectus and a Lifetime Lease. The Prospectus provided to [**3] Ms. Cashin was approved by the Department of Business and Professional Regulation (Department) in 1994, pursuant to the Act. See §§ 723.006(8), .011(1); *Vill. Park Mobile Home Ass'n, Inc. v. Fla. Dep't of Bus. Reg.*, 506 So. 2d 426, 427. The Lifetime Lease, as an attachment to the Prospectus, had been approved by the Department on March 28, 2006. See §§ 723.011(2), .012(14)(d).

The first page of the Prospectus contains four paragraphs, each of which is typed in capital letters and required under the Act. See § 723.012(1)(b). As relevant to this appeal, paragraphs one, two, and four provide:

THIS PROSPECTUS CONTAINS VERY
IMPORTANT INFORMATION
REGARDING YOUR LEGAL RIGHTS

AND YOUR FINANCIAL OBLIGATIONS IN LEASING A MOBILE HOME LOT. MAKE SURE THAT YOU READ THE ENTIRE DOCUMENT [*495] AND SEEK LEGAL ADVICE IF YOU HAVE ANY QUESTIONS REGARDING THE INFORMATION SET FORTH IN THIS DOCUMENT.

THE STATEMENTS CONTAINED HEREIN ARE ONLY SUMMARY IN NATURE. A PROSPECTIVE LESSEE SHOULD REFER TO ALL REFERENCES, ALL EXHIBITS HERETO, THE CONTRACT DOCUMENTS, AND ALL SALES MATERIALS.

....

UPON DELIVERY OF THE PROSPECTUS TO A PROSPECTIVE LESSEE, THE RENTAL AGREEMENT IS VOIDABLE BY THE LESSEE FOR A [*4] PERIOD OF FIFTEEN (15) DAYS.

Section VIII, paragraph D of the Prospectus, under the heading "Increases in Lot Rental Amount," addresses factors affecting rent increases:

Factors which may affect the level of increases in the lot rental amount or user fees are as follows:

Consumer Price Index (CPI): [Tara Woods] will consider increases in the level of CPI for the twelve-month (12-mo.) period immediately preceding the notice of increase. Rent and other charges may be increased by a percentage equal to the increase in the level of CPI but such increase will not exceed ten percent (10%) of the level of rent or other charges in the year prior to the effective date of the increase.

Paragraph E of the Prospectus, under the same section and heading, addresses "Additional Considerations" and provides, in relevant part:

Tenants assuming the remaining portion of

a rental agreement as prescribed by § 723.059(3), F.S., are hereby notified that upon the expiration of the assumed rental agreement, the Park Owner expressly reserves the right to increase lot rental amount in an amount deemed appropriate by the Park Owner with such increase being imposed in the manner disclosed in the Prospectus delivered [*5] to the initial recipient. The increase must be disclosed and agreed to by the purchaser in writing prior to occupancy.

Also on August 8, 2007, Ms. Cashin signed an acknowledgement stating that Tara Woods provided her with an approved Prospectus and that she had not been supplied with the original prospectus delivered to the Seller. That document reads:

The owner of the home I purchased on Lot 143 did not supply me (we) or the Sales Office with the original Prospectus which was delivered to the previous owner(s), per the terms specified in Chapter 723, Florida Statutes, Department of Business Regulation, Division of Florida Land Sales, Condominiums and Mobile Homes.

Tara Woods Community Management furnished me (us) with a current approved Prospectus, which is now being delivered to new residents who purchase new homes. I (we) were informed that it may or may not be the same form as the original Prospectus delivered to the previous owner(s). I (we) the buyer(s) Louella Cashin accept the current Prospectus given to me (us) at the time of the signing of the Lease Agreement to be used as a guide for information purposes.

The final document signed by Ms. Cashin is her lot rental agreement (Lifetime [*6] Lease). Although the date Ms. Cashin signed the Lifetime Lease is unclear—two executed Lifetime Leases were introduced into

evidence below—it is clear Ms. Cashin signed a Lifetime Lease.¹ Section C, [*496] paragraph 3(C), of the Lifetime Lease addresses factors affecting increases in rent and reads:

Effective the first day of every calendar year the base rent shall be adjusted by the percentage increase in the CPI; however, if the percentage increase in the CPI is less than three percent for any year, the base rent shall be increased by three percent. Alternatively, at the sole discretion of Community Owner, effective the first day of each calendar year, the base rent shall be adjusted to the market rent, but in no year by more than the percentage increase in the CPI plus two percent.

On the last page of the Lifetime Lease, section V, Homeowner Acknowledgement of Understanding, provides: "Homeowner hereby acknowledges [*7] that [s]he has read the foregoing Lot Rental Agreement and that prior to executing this Lot Rental Agreement [s]he has had a reasonable opportunity to read and review it" Finally, immediately preceding the signature lines on the last page of the lease, and typed in bolded, all capital letters appears the following disclosure:

YOU DO NOT HAVE TO ACCEPT THIS RENTAL AGREEMENT.

THIS RENTAL AGREEMENT CONTAINS PROVISIONS WHICH ARE DIFFERENT FROM THE PROSPECTUS DISCLOSURE. THESE DIFFERENCES MAY INCLUDE FEES AND FACTORS WHICH MAY AFFECT THE LOT RENTAL AMOUNT OF OTHER PROVISIONS.

THIS RENTAL AGREEMENT APPLIES ONLY TO THOSE HOMEOWNERS WHO

CONSENT TO IT.

B. Lawsuit

On June 24, 2010, almost three years after executing her Lifetime Lease, and after two annual rent increases, Ms. Cashin filed a two-count complaint against Tara Woods. In count I, Ms. Cashin sought declaratory relief, asking the court to declare the Prospectus the "supreme governing document" such that any provision in Ms. Cashin's Lifetime Lease which conflicted with the Prospectus was unenforceable. In count II, she claimed damages based on the difference between the rent she paid under the Lifetime Lease and what she would have [*8] been obligated to pay under a lease identical to the Seller's.

Tara Woods answered the complaint and filed affirmative defenses including (1) that Ms. Cashin accepted the Rental Assumption Agreement, Rental Agreement, and Lifetime Lease without question, protest, or dispute; (2) that Ms. Cashin executed an acknowledgment stating that she had not received the Seller's prospectus and had accepted the current Prospectus; (3) that Ms. Cashin voluntarily agreed to the Lifetime Lease which includes conspicuous language indicating that it was optional; and (4) that Ms. Cashin waived any claim asserting an entitlement to a different rental agreement by her voluntary execution of the Lifetime Lease and the thirty-four-month period in which it had governed the parties' relationship.

C. Judgments

Following an unsuccessful mediation, the matter went to nonjury trial on May 27, 2011. On January 30, 2012, the court issued its final judgment, concluding in pertinent part:

Assuming . . . a prospectus can be amended by attaching a rental agreement [*497] as an exhibit with provisions which conflict with those in the prospectus, as

¹ Ms. Cashin's lot rental agreement is referred to as a Lifetime Lease because the term of the agreement is the lifetime of the Homeowner and the lease is to remain in effect until the Homeowner's or Homeowner's spouse's death or until the sale of the home or transfer of title to the home.

was the situation in this case, the prospectus, as amended, the disclosures made, [**9] and the manner in which it is presented to prospective purchasers of existing homes, must, at a minimum, in order to comply with the full and fair disclosure requirements set forth in Chapter 723, Florida Statutes, clearly inform [Ms. Cashin] of her rights under Fla. Stat. 723.059 and choice to enter into a lot rental agreement on the terms and conditions consistent with her Seller's prospectus. On the facts of this case, [Ms. Cashin] was not given that disclosure and choice. Here, [Ms. Cashin] was not even provided with a copy of the optional lease she had the right to elect to enter into and informed of the amount of the base rent, if different, she would have to pay under that option.

[Ms. Cashin] did not voluntarily consent to the Lifetime Lease and waive her rights under Florida Statute 723.059(3) & (4). Instead, the Lifetime Lease was simply imposed on [Ms. Cashin] by [Tara Woods] by presenting her with only with [sic] that lease, with the confusing and conflicting language used in the documents prepared by [Tara Woods], and presented to [Ms. Cashin], without giving her any meaningful understandable choice. In order to have a valid waiver, there must be a voluntary and intentional [**10] relinquishment of a known right.

....

ORDERED AND ADJUDGED, [Ms. Cashin] is entitled to the benefits provided by Florida Statute 723.059(3) & (4), to rely on the terms and conditions of her Seller's prospectus, and to have the increase in her annual rent, after expiration of the assumed rental agreement of her Seller, imposed in a manner consistent with the initial prospectus given to her Seller, and if

she chooses, to a lot rental agreement in accordance with those terms, restorative to the date of her purchase, together with damages equal to the amounts paid by [Ms. Cashin] in excess of the amounts so determined, and prejudgment interest thereon.

Thereafter, the court entered its supplemental final judgment reflecting that Ms. Cashin had elected to rescind her Lifetime Lease pursuant to the final judgment, which "provided for an election by [Ms. Cashin] to rescind her [Lifetime Lease] and, if she elected to rescind, for damages equal to the amounts paid . . . in excess of the amount payable based on the terms of her seller's prospectus and lease."

II. Discussion

In a declaratory judgment action, this court defers to the circuit court's findings of fact, provided they are supported by [**11] competent, substantial evidence. See *Fortune v. Hutchinson*, 20 So. 3d 476, 477 (Fla. 2d DCA 2009). However, the circuit court's conclusions of law, when based on its interpretation of statutes and written agreements and contracts, are reviewed de novo. See *J.S.U.B., Inc. v. U.S. Fire Ins. Co.*, 906 So. 2d 303, 306 (Fla. 2d DCA 2005).

A. Relief requested

Although not raised by Tara Woods on appeal, we must note that the circuit court's final and supplemental final judgments grant relief not requested by Ms. Cashin—the right to rescind her Lifetime Lease. Nothing in our record indicates that a motion for supplemental relief was filed. See § 86.061, Fla. Stat. (2011). Further, to the extent Ms. Cashin's declaratory action seeks, in part, a determination that she had a right to rely on the rent-increase provision in the Prospectus she [**498] was given, the court so determined. However, the specific prayer of the declaratory action was effectually denied. The court did not find "that

the Prospectus is the supreme governing document and that anything contained in [Ms. Cashin's] lease that is contrary to the Prospectus is unenforceable" or "that the minimum increase of 3% contained in the [Lifetime **[**12]** Lease] is unenforceable because it conflicts with [Ms. Cashin's] Prospectus."

Nonetheless, because Ms. Cashin was "entitled to a judicial determination of the rights at issue," see *Meadows Cmty. Ass'n, Inc. v. Russell-Tutty*, 928 So. 2d 1276, 1279 (Fla. 2d DCA 2006), the court determined that Tara Woods had specific obligations pursuant to section 723.059 of the Act, which were not met. The court further found that the manner in which rent was increased under the Lifetime Lease conflicted with the manner in which rent was increased under the Prospectus. Based on these determinations, the court granted Ms. Cashin the right to rescind her Lifetime Lease.

B. Issues raised on appeal

1. Statutory interpretation

The first three points on appeal address the circuit court's interpretation of the Act as reflected in the final judgment. It is upon these issues that the case presented is one of first impression. Because of this, we have endeavored to discuss each relevant provision of the documents signed by Ms. Cashin, as well as the relevant statutes. In doing so, it became apparent that the circuit court misinterpreted the Act such that the court elevated the Prospectus beyond the status intended **[**13]** by the legislature, affording it greater weight than the Lifetime Lease.

The Prospectus, whether the Seller's or Ms. Cashin's, "is fundamentally a disclosure document." *Vill. Park*, 506 So. 2d at 428. This is made abundantly clear by the language of the Act. Section 723.011, titled "Disclosure prior to rental of a mobile home lot; prospectus, filing, approval," states that "[t]he

prospectus . . . together with its exhibits is a disclosure document intended to afford protection to homeowners and prospective homeowners in the mobile home park. The purpose of the document is to disclose the representations of the mobile home park owner concerning the operations of the mobile home park." § 723.011(3); see *Sun Coast Int'l, Inc. v. Dep't of Bus. Reg.*, 596 So. 2d 1118, 1120 n.1 (Fla. 1st DCA 1992) ("The purpose of the prospectus is to disclose to the tenants certain information regarding the operation of the mobile home park . . ."); see also *Vill. Park*, 506 So. 2d at 428 (listing the statutory disclosure requirements). Section 723.012, detailing the requirements of the prospectus, mandates that the prospectus include, "in conspicuous type," the admonition that "[t]he statements contained **[**14]** herein are *only summary in nature*. A prospective lessee should refer to all references, all exhibits hereto, *the contract documents*, and sales materials." § 723.012(1)(b)(2) (emphases added). In addition, a "prospectus must be delivered prior to the creation of an enforceable rental agreement." *Fed'n of Mobile Home Owners of Fla., Inc. v. Fla. Manufactured Hous. Ass'n, Inc.*, 683 So. 2d 586, 588 (Fla. 1st DCA 1996). Quite clearly the legislature did not intend the prospectus to create rights or duties not already imposed by the Act, nor did it intend the prospectus to be a contract. The Department's rules align with our reading of the Act. See Fla. Admin. Code R. 61B-31.001(1) ("The prospectus shall clearly describe all matters required by Chapter 723, Florida Statutes, and shall not contain other information except as permitted by the [Department] **[*499]** to fully and fairly disclose all aspects of the park and the offer."). The Act makes the prospectus "part of the contract between the mobile home park owner and the mobile home owner," *Fed'n of Mobile Home Owners*, 683 So. 2d at 591, but not an independent contract and certainly not the

"supreme governing document."

As a result, Ms. Cashin **[**15]** has no independent rights under the Prospectus. Her rights are provided by the Act and the Lifetime Lease. Thus, one of the questions before us is whether the Act requires Tara Woods, as the mobile home park owner, to "clearly inform" a resale home buyer of her rights under section 723.059 of the Act.

As a statutory basis for her lawsuit, Ms. Cashin relies on section 723.059(3). Section 723.059, titled "Rights of purchaser," defines the rights of a resale purchaser within a mobile home park:

(3) The purchaser of a mobile home who becomes a resident of the mobile home park in accordance with this section has the right to assume the remainder of the term of any rental agreement then in effect between the mobile home park owner and the seller and shall be entitled to rely on the terms and conditions of the prospectus or offering circular as delivered to the initial recipient.

(4) However, nothing herein shall be construed to prohibit a mobile home park owner from increasing the rental amount to be paid by the purchaser upon the expiration of the assumed rental agreement in an amount deemed appropriate by the mobile home park owner, so long as such increase is disclosed to the purchaser prior **[**16]** to his or her occupancy and is imposed in a manner consistent with the initial offering circular or prospectus and this act.

§ 723.059(3), (4).

In the final judgment, the circuit court interpreted section 723.059 not as a statute delineating Ms. Cashin's rights but as a statute imposing duties upon Tara Woods. In doing so, the court read section 723.059 as requiring

Tara Woods to (1) "clearly inform [Ms. Cashin] of her rights under Fla. Stat. 723.059 and her prospectus"; (2) "provide her with a copy of the optional lease she had the right to elect to enter into"; and (3) inform Ms. Cashin "of the amount of the base rent, if different, she would have to pay under that option." Tara Woods argues that these obligations are not part of the Act but are creations of the circuit court.

Both parties agree that Ms. Cashin exercised her right to assume the remaining term of her Seller's rental agreement and all rights provided thereunder, in accordance with section 723.059(3). They also agree that pursuant to section 723.059(4), Ms. Cashin had a right to be informed of any rental increase prior to her occupancy. That is, Tara Woods had a duty to disclose any rental increase to Ms. Cashin prior **[**17]** to her occupancy. Additionally, any disclosed rent increase was required to be imposed "in a manner consistent with" the Prospectus. § 723.059(4).

Here, although the Prospectus provided to Ms. Cashin was not identical to the prospectus provided to her Seller, it is undisputed that it contained an identical "Increases in Lot Rental Amount" provision. As a result, Ms. Cashin was entitled to rely on that provision of her Prospectus. The Prospectus provides that a rent increase is subject to several factors, one of which is CPI. Other factors affecting the lot rental amount include "[t]he imposition of and/or increases in special use fees, government and utility charges, pass-through charges, recouped costs, and pass-on charges." Ms. Cashin's Lifetime Lease provides that rent increases are affected **[*500]** by CPI or market rent. The manner in which rent may be increased is affected, in both instances, by CPI—making the provisions consistent. Further, the Department approved the Lifetime Lease executed by Ms. Cashin as part of its statutory duties pursuant to the Act.

See § 723.011(1)(d) (tasking the Department with approving amendments to prospectuses and their attachments); § 723.012(14) (requiring **[**18]** lease agreements to be attached to prospectuses). Thus, Ms. Cashin's rights under section 723.059, as applicable to the facts of this case, were the right to assume the remaining term of her Seller's lease and rights thereunder and the right to rely on the terms of her Seller's prospectus.

To the extent the court's order requires Tara Woods to provide a copy of a seller's prospectus to a resale home buyer, that is error. Section 723.011(2) requires the mobile home park owner to provide a copy of an approved prospectus, along with all attachments thereto, to each prospective lessee. See *Fed'n of Mobile Home Owners*, 683 So. 2d at 593 ("The mobile home park owner is statutorily obligated to provide tenants with an 'approved' prospectus, and cannot enter into a binding rental agreement until after providing the prospective tenant with an 'approved' prospectus"); see also § 723.014(1) ("If a prospectus . . . was not provided to the prospective lessee prior to execution of the lot rental agreement . . . the rental agreement is voidable by the lessee until 15 days after the receipt by the lessee of the prospectus . . ."). Section 723.059(3) states only that a resale home buyer "shall be **[**19]** entitled to rely on the terms and conditions of the [seller's] prospectus"; it imposes no affirmative duty upon the mobile home park owner. Section 723.059(4) imposes a disclosure obligation on the mobile home park owner as to increases in rent and requires that an increase conform with the manner prescribed in the seller's prospectus. It does not impose an affirmative duty to provide the resale home buyer with the seller's prospectus.

The second duty imposed by the court is to provide Ms. Cashin with a copy of the optional

lease she had the right to elect to enter into. Nothing in the Act supports this reading of section 723.059. Cf. § 627.727(1), Fla. Stat. (2011) (requiring insurance policies to include certain coverage unless insured rejects in writing the coverage such that insured has the "privilege of rejecting" it). Nor does the Act support the court's conclusion that Tara Woods was required to inform Ms. Cashin of the difference in lot rental amount between the Lifetime Lease and the Seller's lease. See *Wexler v. Rich*, 80 So. 3d 1097, 1101 (Fla. 4th DCA 2012) (concluding bank was not required to explain significance between types of account ownership where account agreements **[**20]** contained options); *Beckett v. Dep't of Fin. Servs.*, 982 So. 2d 94, 101 (Fla. 1st DCA 2008) ("If the [l]egislature had intended to require particular means or procedures for obtaining informed consent, it could have done so").

In reaching these conclusions, we reiterate what Florida courts have long held: the legislature is presumed to understand the meaning of the words it chooses, *Overstreet v. State*, 629 So. 2d 125, 126 (Fla. 1993), and those words are to be ascribed their plain and ordinary meaning, see *Velez v. Miami-Dade Cnty. Police Dep't*, 934 So. 2d 1162, 1164-65 (Fla. 2006). Here it is obvious that the legislature understands the differences between rights and obligations; section 723.022 defines the mobile home park owner's general obligations and sections 723.054, 723.055, and 723.059 define various rights of the mobile home owner. And because the legislature used **[*501]** words with clear meanings—rights, obligations, disclose, and provide—the courts "may not invade the province of the legislature and add words which change the plain meaning of the statute." *Metro. Dade Cnty. v. Bridges*, 402 So. 2d 411, 414 (Fla. 1981). Nor may the courts otherwise extend or modify the words or their **[**21]** meanings. *Velez*, 934 So. 2d at 1164-

65.

Because we do not read the circuit court's order as requiring a mobile home park owner to provide legal advice regarding the mobile home owner's rights, we need not address that issue. We note, however, that by requiring every prospectus to include, "in conspicuous type," the admonition to "seek legal advice" should any questions arise regarding a mobile home owner's legal rights, the legislature clearly contemplated a mobile home owner's potential need for such advice. See § 723.012(1).

2. Waiver

Tara Woods' final argument on appeal addresses the circuit court's conclusion that Ms. Cashin did not voluntarily consent to the Lifetime Lease and did not waive her statutory rights. As discussed above, the circuit court granted Ms. Cashin rights and extended Tara Woods' obligations beyond those provided by the Act. By doing so, the court complicated what would otherwise have been a simple waiver case.

Because the circuit court's findings of fact are supported by competent, substantial evidence in the record, and are largely included in the background herein, we do not address them.

Although not conceding that Ms. Cashin had rights beyond those delineated **[**22]** by the Act, Tara Woods contended in its affirmative defenses and at trial that Ms. Cashin had waived any rights she may have had with regard to the terms of her Lifetime Lease. And as Lifetime Leases governed by the Act are contracts like any other, general contract law applies. See *Miren Int'l Lodging Corp. v. Manley*, 982 So. 2d 1203, 1204 (Fla. 5th DCA 2008). To prove waiver, Tara Woods was required to establish "the existence at the time of the waiver of a right, privilege, or advantage; the actual or constructive knowledge thereof;

and an intention to relinquish that right, privilege, or advantage." See *Winans v. Weber*, 979 So. 2d 269, 274 (Fla. 2d DCA 2007) (citing *Arbogast v. Bryan*, 393 So. 2d 606, 608 (Fla. 4th DCA 1981)). Knowledge of the right is critical. *Id.*

As discussed above, for purposes of this appeal, the only statutory right Ms. Cashin had was the right to rely on the terms of her Seller's prospectus. And again, it is undisputed that the relevant provisions pertaining to rental increases in both the Seller's prospectus and the approved Prospectus given to Ms. Cashin contained identical language.

As to Ms. Cashin's "actual or constructive knowledge" of her right, "Florida **[**23]** law has long held that a party to a contract is 'conclusively presumed to know and understand the contents, terms, and conditions of the contract.'" *Rocky Creek Ret. Props., Inc. v. Estate of Fox*, 19 So. 3d 1105, 1108-09 (Fla. 2d DCA 2009) (quoting *Stonebraker v. Reliance Life Ins. Co. of Pittsburgh*, 123 Fla. 244, 166 So. 583, 584 (Fla. 1936)). "Florida adheres to the principle that a 'party has a duty to learn and know the contents of a proposed contract before [s]he signs' it." *Wexler*, 80 So. 3d at 1100-01 (quoting *Mfrs.' Leasing, Ltd. v. Fla. Dev. & Attractions, Inc.*, 330 So. 2d 171, 172 (Fla. 4th DCA 1976)). Therefore, a party is "assumed to have known, and [is] charged with the knowledge, of the provisions incorporated into the contract [she] executed." *Breckenridge v. Farber*, 640 So. 2d 208, 211 (Fla. **[*502]** 4th DCA 1994) (quoting *Marthame Sanders & Co. v. 400 West Madison Corp.*, 401 So. 2d 1145, 1146 (Fla. 4th DCA 1981)). "[The] alleged inability to understand the Agreement does not vitiate her assent to that Agreement in the absence of some evidence that she was prevented from knowing its contents." *Rocky Creek*, 19 So. 3d at 1108-09.

Citing section 723.059(3), Ms. Cashin's Prospectus expressly **[**24]** notified her "that upon the expiration of the assumed rental agreement," Tara Woods reserved the right to increase rent "with such increase being imposed in the manner disclosed in the Prospectus delivered to the initial recipient." Although the Prospectus does not indicate it, this language is a quote from section 723.059(4). As a result, Ms. Cashin was put on notice that any rent increase subsequent to the expiration of her Rental Assumption Agreement would be made in a manner consistent with the terms of the Prospectus. And nothing in sections 723.059(3) or (4) requires a verbal explanation of the resale buyer's rights. Therefore, the circuit court's conclusion that "the right to rely on her Seller's prospectus" was not disclosed to Ms. Cashin is in error. This error is compounded by the court's conclusion that Ms. Cashin did not voluntarily consent to the terms of the Lifetime Lease and waive her right under section 723.059(3).

We reiterate that the Department approved not only the Prospectus provided to Ms. Cashin but also the Lifetime Lease attached to it. The final page of that Lifetime Lease expressly, unambiguously, and conspicuously advised Ms. Cashin that she did not have **[**25]** to accept the Lifetime Lease, that it only applied to those homeowners who consented to it, that the Lifetime Lease contained provisions different from those of the Prospectus, and that those differences "may affect the lot rental amount." The Lifetime Lease also provides that "[t]he relationship between Homeowner and Community Owner shall be subject to the terms of Chapter 723, Florida Statutes." Moreover, by reading the terms of the Rental Assumption Agreement and those of the Lifetime Lease it is clear that the rent provisions differed in a minor way not impacting the overall manner in which rent increases could be imposed.

"Freedom of contract 'includes freedom to make a bad bargain.'" *Wexler*, 80 So. 3d at 1100 (quoting *Posner v. Posner*, 257 So. 2d 530, 535 (Fla. 1972)). Ms. Cashin does not contend she had no opportunity to read the documents she signed. In fact, testimony at trial supports the finding that Ms. Cashin signed the Lifetime Lease on August 29, 2007, twenty-one days after she first received it. Testimony also established that Ms. Cashin did not ask questions about the documents she received and signed. And Ms. Cashin does not argue that she was under pressure to execute **[**26]** the documents. Ms. Cashin's signatures on each of the pertinent documents, but particularly on the Lifetime Lease, evince her intention to relinquish her right and consent to the Lifetime Lease.

III. Conclusion

Tara Woods complied with its statutory obligations to Ms. Cashin, a resale home buyer, under Florida's Mobile Home Act. The documents presented to and executed by Ms. Cashin met the requirements of the Act. As a result, and notwithstanding the circuit court's erroneous interpretation of the Act, the issue in this case is simply one of waiver. The rent increase between Ms. Cashin's assumption of the Seller's lease and her execution of the Lifetime Lease was clearly disclosed, and the Lifetime Lease conspicuously advised that it was **[*503]** optional. Ms. Cashin was in no sense pressured into signing the Lifetime Lease; she took three weeks to review and execute it. She had the time, and indeed was admonished, to seek legal advice should she have any questions. Ms. Cashin was specifically advised of the matter about which she now complains, and she acknowledged her awareness in writing. Ms. Cashin voluntarily consented to the Lifetime Lease. For these reasons, we reverse the final judgment **[**27]** and supplemental final judgment and remand with directions that

judgment be entered in favor of Tara Woods.

Reversed and remanded with instructions.

KHOUZAM, J., and MAKAR, SCOTT D.,
ASSOCIATE JUDGE, Concur.

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Harris v. Fairhaven Mobile Home Park

Circuit Court of the Sixth Judicial Circuit of Florida, Pinellas County, Appellate Division

September 23, 2014, Decided; September 24, 2014, Filed

Ref. No.: 13-000067AP-88B, UCN: 522013AP000067XXXXCI

Reporter

2014 Fla. Cir. LEXIS 14760 *

WILLIAM J. HARRIS, Appellant, vs.
FAIRHAVEN MOBILE HOME PARK, LLC.,
Appellee.

Core Terms

prospectus, utility services, charging, notice, meter, rental amount, mobile home, park owner, billing, water and sewer service, change the method, pro rata basis, fail to pay, trial court, pro rata, implementing, reduction, rent

Judges: [*1] PAMELA A.M. CAMPBELL, Circuit Judge. AMY M. WILLIAMS, Circuit Judge. JACK DAY, Circuit Judge.

Opinion by: PAMELA A.M. CAMPBELL; AMY M. WILLIAMS; JACK DAY

Opinion

ORDER AND OPINION

On July 2, 2013, Appellee filed a complaint for eviction, alleging that Appellant failed to pay all lot rental amounts when due for the months of March through June, 2013. On October 8, 2013, the trial court found that Appellant failed to pay the total rent due, and pursuant to Section 723.061(1)(a), Fla. Stat., entered a final judgment terminating Appellant's tenancy. On appeal, Appellant contends that the trial court misinterpreted the law, and that he was not required to pay the sewer and water charges because Appellee changed the way

water and sewage fees were charged from pro rata to an individual basis in contravention of the Florida Mobile Home Act.¹

On August 24, 2012, Appellee delivered notice to Appellant that Appellee would be increasing the lot rental amount, changing the manner of billing for water and [*2] sewer services, and decreasing the base rent effective on January 1, 2013. Billing for water and sewer services had previously been done on a pro rata basis, but was being changed to an individual meter system. In order to effect these changes, Appellee filed an amended prospectus detailing the new method of billing for utilities with the Department of Business and Professional Regulation. DBPR approved the amended prospectus on November 14, 2012, and Appellee notified Appellant of the amendments to the prospectus on December 7, 2012.

Section 723.037 of the Florida Mobile Home Act mandates that a park owner must give written notice at least 90 days prior to any increase in lot rental amount or reduction in services or utilities provided by the park owner. In addition, the manner in which utility services will be provided and charged must be consistent with the representations in the prospectus. *Tara Woods SPE, LLC v. Cashin*, 116 So. 3d 492 (Fla. 2d DCA 2013).

¹Appellant also asserts that the trial court did not rely on competent substantial evidence, and failed to accord due process. The Court has reviewed Appellant's competent substantial evidence and due process arguments and found them to be without merit.

At trial, Appellant did not dispute that the prospectus had been amended prior to implementing the meter system, nor that Appellee provided the requisite 90 day notice of reduction in utilities provided by the park owner, but generally averred that Appellee "did not conform with the prospectus, [*3] the statute, the administrative code, and the decision of the law regarding mobile homes." Relying on *Herrick v. FL Dept. of Business Reg.*, 595 So. 2d 148 (Fla. App. 1 Dist. 1992), Appellant argues that changing the method of providing and charging for utilities from pro rata to an individual meter system was unlawful because the previous prospectus provided for utilities to be charged only on a pro rata basis. Appellant's reliance is misplaced. In *Herrick*, the court found that the owner of the mobile home park could not change the manner in which the utility services would be charged in a manner inconsistent with the prospectus. *Id.* at 156. In contrast to *Herrick*, in the instant case Appellee amended the prospectus to change the method of charging for utility services in accordance with §723.011, Fla. Stat., and provided notice of the prospectus amendments to Appellant prior to renewing the annual rental agreement and implementing the new meter system of charging for utility services on January 1, 2013.

Accordingly, it is

ORDERED AND ADJUDGED that the order below is affirmed.

DONE AND ORDERED in Chambers at St. Petersburg, Pinellas County, Florida, on this 23 day of Sept., 2014.

/s/ [Signature]

PAMELA A.M. CAMPBELL

Circuit Judge, Appellate Division

/s/ [Signature]

AMY M. WILLIAMS

Circuit Judge, [*4] Appellate Division

/s/ [Signature]

JACK DAY

Circuit Judge, Appellate Division

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Fla. Stat. § 723.031

Current through 2023 regular session and the 2023 B special session.

**LexisNexis® Florida Annotated Statutes > Title XL. Real and Personal Property. (Chs. 689 — 723)
> Chapter 723. Mobile Home Park Lot Tenancies. (§§ 723.001 — 723.1255)**

§ 723.031. Mobile home lot rental agreements.

- (1)** No rental agreement shall contain any rule or regulation prohibited by this chapter, nor shall it provide for promulgation of any rule or regulation inconsistent with this chapter or amendment of any rule or regulation inconsistently with this chapter.
- (2)** Whether or not a tenancy is covered by a valid written rental agreement, the required statutory provisions shall be deemed to be a part of the rental agreement.
- (3)** The homeowner shall have no financial obligation to the park owner as a condition of occupancy in the park, except the lot rental amount. The parties may agree otherwise as to user fees which the homeowner chooses to incur. No user fees shall be charged by the park owner to the mobile home owner for any services which were previously provided by the park owner and included in the lot rental amount unless there is a corresponding decrease in the lot rental amount.
- (4)** No rental agreement shall be offered by a park owner for a term of less than 1 year, and if there is no written rental agreement, no rental term shall be less than 1 year from the date of initial occupancy; however, the initial term may be less than 1 year in order to permit the park owner to have all rental agreements within the park commence at the same time. Thereafter, all terms shall be for a minimum of 1 year.
- (5)** The rental agreement must contain the lot rental amount and services included. An increase in lot rental amount upon expiration of the term of the lot rental agreement must be in accordance with ss. 723.033 and 723.037 or s. 723.059(4), whichever is applicable; provided that, pursuant to s. 723.059(4), the amount of the lot rental increase is disclosed and agreed to by the purchaser, in writing. An increase in lot rental amount shall not be arbitrary or discriminatory between similarly situated tenants in the park. A lot rental amount may not be increased during the term of the lot rental agreement, except:
 - (a)** When the manner of the increase is disclosed in a lot rental agreement with a term exceeding 12 months and which provides for such increases not more frequently than annually.
 - (b)** For pass-through charges as defined in s. 723.003.
 - (c)** That a charge may not be collected which results in payment of money for sums previously collected as part of the lot rental amount. The provisions hereof notwithstanding, the mobile home park owner may pass on, at any time during the term of the lot rental agreement, ad valorem property taxes, non-ad valorem assessments, and utility charges, or increases of either, provided that the ad valorem

property taxes, non-ad valorem assessments, and utility charges are not otherwise being collected in the remainder of the lot rental amount and provided further that the passing on of such ad valorem taxes, non-ad valorem assessments, or utility charges, or increases of either, was disclosed prior to tenancy, was being passed on as a matter of custom between the mobile home park owner and the mobile home owner, or such passing on was authorized by law. A park owner is deemed to have disclosed the passing on of ad valorem property taxes and non-ad valorem assessments if ad valorem property taxes or non-ad valorem assessments were disclosed as a separate charge or a factor for increasing the lot rental amount in the prospectus or rental agreement. Such ad valorem taxes, non-ad valorem assessments, and utility charges shall be a part of the lot rental amount as defined by this chapter. The term "non-ad valorem assessments" has the same meaning as provided in s. 197.3632(1)(d). Other provisions of this chapter notwithstanding, pass-on charges may be passed on only within 1 year of the date a mobile home park owner remits payment of the charge. A mobile home park owner is prohibited from passing on any fine, interest, fee, or increase in a charge resulting from a park owner's payment of the charge after the date such charges become delinquent. A mobile home park owner is prohibited from charging or collecting from the mobile home owners any sum for ad valorem taxes or non-ad valorem tax charges in an amount in excess of the sums remitted by the park owner to the tax collector. Nothing herein shall prohibit a park owner and a homeowner from mutually agreeing to an alternative manner of payment to the park owner of the charges.

(d) If a notice of increase in lot rental amount is not given 90 days before the renewal date of the rental agreement, the rental agreement must remain under the same terms until a 90-day notice of increase in lot rental amount is given. The notice may provide for a rental term shorter than 1 year in order to maintain the same renewal date.

(6) Except for pass-through charges, as defined in this chapter, failure on the part of the mobile home park owner or developer to disclose fully all fees, charges, or assessments prior to tenancy, unless it can be shown that such fees, charges, or assessments have been collected as a matter of custom between the mobile home park owner and the mobile home owner, shall prevent the park owner or operator from collecting said fees, charges, or assessments; and refusal by the mobile home owner to pay any such fee, charge, or assessment shall not be used by the park owner or developer as a cause for eviction in any court of law.

(7) No park owner may increase the lot rental amount until an approved prospectus has been delivered if one is required. This subsection shall not be construed to prohibit those increases in lot rental amount for those lot rental agreements for which an approved prospectus was required to be delivered and which was delivered on or before July 1, 1986, if the mobile home park owner had:

(a) Filed a prospectus with the division prior to entering into the lot rental agreement;

(b) Made a good faith effort to correct deficiencies cited by the division by responding within the time limit set by the division, if one was set; and

(c) Delivered the approved prospectus to the mobile home owner within 45 days of approval by the division.

This subsection shall not preclude the finding that a lot rental increase is invalid on other grounds and shall not be construed to limit any rights of a mobile home owner or to preclude a mobile home owner from seeking any remedies allowed by this chapter, including a determination that the lot rental agreement or any part thereof is unreasonable.

(8) If a mobile home owner has deposited or advanced money on a rental agreement as security for performance of the rental agreement, which money is held in excess of 3 months by the mobile home park owner or his or her agent, such deposit shall be handled pursuant to s. 83.49.

(9) No rental agreement shall provide for the eviction of a mobile home owner on a ground other than one contained in s. 723.061.

(10) The rules and regulations and the prospectus shall be deemed to be incorporated into the rental agreement.

History

S. 1, ch. 84-80; s. 6, ch. 86-162; s. 14, ch. 88-147; s. 8, ch. 90-198; s. 9, ch. 96-396; s. 1778, ch. 97-102; s. 5, ch. 2015-90, effective July 1, 2015; s. 2, ch. 2016-169, effective July 1, 2016; s. 24, ch. 2020-27, effective July 1, 2020.

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